

Credit Policy Guidelines

Purpose

This document defines the organization's credit decision framework and approval recommendations.

The final customer classification is based on the overall Credit Risk Assessment Score.

Low Risk Customer

Score Above 80

Risk Classification

Low Risk

Recommended Credit Limit

USD 5,000,000

Recommended Payment Terms

60 Days

Business Interpretation

Customers in this category demonstrate strong financial health, satisfactory compliance results, and lower overall risk exposure.

Medium Risk Customer

Score Between 50 and 80

Risk Classification

Medium Risk

Recommended Credit Limit

USD 2,000,000

Recommended Payment Terms

30 Days

Business Interpretation

Customers demonstrate acceptable financial performance but may require additional monitoring.

High Risk Customer

Score Below 50

Risk Classification

High Risk

Recommended Credit Limit

No Credit Facility

Recommended Payment Terms

Advance Payment Required

Business Interpretation

Customers demonstrate elevated business, financial, or compliance risk.

Policy Exceptions

Management approval is required for exceptions to standard credit policies.

Approved credit limits may be adjusted by authorized personnel.

Business approval does not override compliance requirements.

Inactive companies should not receive credit approval.

Applications with missing mandatory documentation should be placed on hold until documentation is received.

Any sanctions or watchlist match requires manual review.

Decision Examples

Customer A

Final Score: 90

Decision: Low Risk

Credit Limit: USD 5,000,000

Payment Terms: 60 Days

Customer B

Final Score: 70

Decision: Medium Risk

Credit Limit: USD 2,000,000

Payment Terms: 30 Days

Customer C

Final Score: 35

Decision: High Risk

Credit Limit: No Credit Facility

Payment Terms: Advance Payment

Frequently Asked Questions

What credit limit applies to a Low Risk customer?

What payment terms apply to a Medium Risk customer?

Can credit limits be overridden?

What happens when a company is inactive?

What should happen if mandatory documents are missing?

What action is required when sanctions are identified?

Knowledge Check Questions

Which risk category receives a USD 5,000,000 limit?

What happens when a customer scores below 50?

Can business approval bypass compliance requirements?

Who can approve policy exceptions?

What should happen if documentation is incomplete?